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The Impact of Rising Interest Rates on Financial Assets

The potential for rising interest rates and the resulting impact on financial asset prices has been a topic of hot debate for a number of years now. Since the Federal Reserve cut the Fed Funds rate to near zero in December of 2008 and then followed that up with several rounds of quantitative easing (QE) in order to bring down longer term rates, investors have mulled over when rates would begin to rise and what the impact would be. We got a taste of the long-

anticipated event in May of this year, after Fed Chairman Ben Bernanke discussed the potential for QE tapering to begin in 2013. The 10 year Treasury yield subsequently rose from 1.63% on May 1st to 2.99% on September 5th. However, after the Fed elected to postpone its planned tapering at the September FOMC meeting, the 10 year Treasury yield promptly began to fall and now hovers in the 2.5% range. What this tells us is that no one knows for sure

when interest rates will begin a sustained rise upward, but it is important to be prepared for such a move, especially considering that rates are very low by historic standards today.

In an effort to evaluate how rising interest rates may affect the portfolios we manage, we have reviewed the performance of various asset classes over the past ten periods in which the 10 year U.S.

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Economic Review

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The Macro View

§ Markets: Interest-rate markets have entered a new, higher trading range while risk markets have exhibited considerable resiliency post the sharp downside price volatility of the second quarter. Markets are now more accustomed to this new range, drawing investors back into the risk sectors at new higher all-in yields. However, the Fed introduced the potential for bouts of heightened volatility with its surprise decision not to begin a tapering of the current QE program.

§ Economic Review: Domestic and global growth remain below trend but signs of stabilization are more evident. In the US, the economy will remain centered on "stall speed" growth rates, but a better com-

position of growth and a further distance from the last recession suggest a self-sustaining, moderate expansion. Europe is exhibiting more signs of recovery but downside risks remain. The short-term outlook for Japan has improved, though the jury is still out on "Abenomics." Emerging markets appear to be stabilizing, but downside risks still dominate.

§ Interest Rates: As expected, rate markets have transitioned to a higher trading range, with 10-year Treasury yields reaching the higher end of our 2.0.-3.0% guidance. We expect the momentum of the upward move to wane and with it a moderation in interest rate volatility. A significant reversal of rates would be viewed as an opportunity to establish more defensive positions.

A RECALIBRATION OF EXPECTATIONS... AGAIN!!!

The late second quarter FOMC statement and the following Bernanke press conference suggested the Federal Reserve saw diminished downside risks to the economy, a transitory disinflationary environment, and a tapering of the current QE program likely beginning in 2013 and extending into 2014. A hawkish repricing of the markets ensued, pushing 10-year yields to 3.0%.

In late September, the FOMC decided not to taper, highlighting a frustrating lack of improvement in the labor markets and a lack of upward momentum in the economy, suggesting



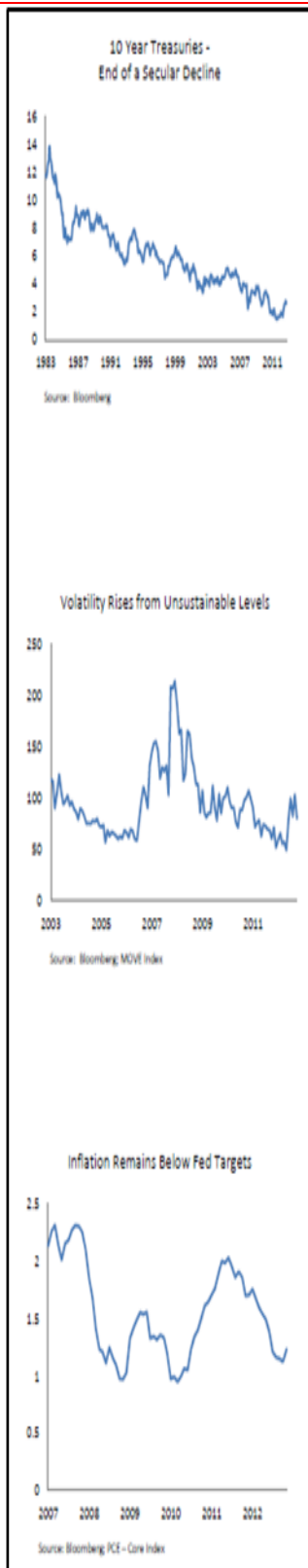
Gregory H. Cobb is co-Director of Fixed Income with responsibility for directing the development of broad-market investment strategies. Prior to the integration in 2010 of Sovereign Advisors into Boyd Watterson, Greg served as Sovereign's CIO and Director of Portfolio Management. Previously, he held the position of Senior Portfolio Manager at TradeStreet Investment Associates and Trusco Capital Management. Greg holds a BA from the University of North Carolina at Chapel Hill, where he pursued doctoral studies in economics and finance. Greg is a member of the CFA Institute, a member and former board member of the CFA Society of North Carolina, a member of the World Affairs Council of Charlotte, and currently serves on the board of the NABE Charlotte Economics Club. Greg has 26 years of industry experience.



Dixon Morgan, Jr. is Portfolio Manager of International Equities. Dixon joined Boyd Watterson Asset Management in 2007. Prior to joining the firm, Dixon was a Senior Director and Portfolio Manager at Oppenheimer Funds and a Manager of International Investments at Brown Brothers Harriman. Dixon holds a BA from Claremont McKenna College. Dixon has 35 years of industry experience.

Economic Review

(continued on page 3)



that recent disinflationary pressures may not be as transitory as once believed. In short, the market was caught off guard and quickly recalibrated to a more dovish interpretation of future Fed policy, repricing interest rates lower. This not-so-subtle push back from the Fed and the reversal of yields from the highs has reduced the near-term upward momentum in rates. In time, the push toward higher rates will re-emerge.

Most of the financial commentary about why the Fed had to taper was based on the need to ratify expectations to preserve Fed credibility, to acknowledge unspoken concerns about potential bubbles and the efficacy of QE, and the need to smooth the transition to a new Fed chair. In contrast, the FOMC decided to "await more evidence that economic progress will be sustained." The Fed demonstrated that their "data dependent" decision really does mean dependence on the data. The data was mixed at best. One year earlier in September 2012, with the announcement of the current QE program, the average gain in total non-farm payrolls over the preceding six months was averaging 127,000. Over the last six months, payroll gains have accelerated to 160,000. Average job growth has improved, but not materially. At the September 2012 FOMC, the Fed expected core inflation to be between 1.7-2.0%. Since that time, realized core inflation has averaged 1.2%, 50 bps below the lower band of the Fed's projection. A purely objective view of the data sug-

gests a Fed delay in the tapering may be justified. A subjective market was caught off guard by the decision. The consensus has now moved to a more sanguine view of future economic activity and more persistent downside misses on inflation. This was our view prior to the most recent FOMC meeting and is our view looking forward.

We reiterate our long-standing view of "stall speed" growth rates centered on 2.0%. We do not foresee a sustained acceleration above 3.0%, nor do we see a likelihood of growth rates falling to zero or below. We do see an economy that is leaving the financial crisis further behind and experiencing a reshaping of the economic landscape, with financial intermediaries de-levered and de-risked and households having worked down overall debt burdens. In the five years post crisis, we have experienced a severe and lengthy recession, a hesitant recovery and now a sustainable, albeit historically subpar, expansion.

The lack of growth acceleration, the absence of inflationary pressures and a more patient Fed will reduce the near-term, upward pressures on rates. In the fullness of time, however, a sustained expansion will eventually result in better labor markets, inflationary pressures, and a normalization of monetary policy. Together, these suggest a higher overall rate structure from today's levels. The transition to this structure is more a story for 2014.

FIXED INCOME: A Reversal of Fortunes

Economic Review

During the third quarter, as investors became more comfortable with the Fed's communications coupled with the new higher rates, spreads, and all-in yields, the risk markets began their grinding reversal. However, the FOMC delivered its late-quarter surprise, emphasizing a disappointing lack of momentum in the overall economy. The markets romanced this negative interpretation of the data and pressured risk markets. Added pressure was delivered by the growing uncertainty of a government shutdown and the upcoming resolution of the debt ceiling debates.

We realize that 2013 has been a difficult year for fixed-income investors given the rare experience of negative absolute returns. Going forward, we will continue to focus on effectively managing risk in order to generate returns as opposed to "swinging for the fences" or attempting to "create" returns by overweighting strategies with skewed risk/reward profiles. To accomplish this, we focus on the application of multiple strategies or alpha-drivers: duration management, yield curve positioning, sector allocations, security selection and tactical trading opportunities. Our approach is more incremental in nature; no single strategy dominates in all environments and the full benefits are realized over time. During difficult environments in the past, this approach has generated both attractive absolute and relative returns given our pa-

tience, active approach, flexibility, and demonstrated risk management capabilities. We expect no less from the future.

GLOBAL EQUITIES

The U.S. stock market is up 18% year-to-date. Earnings increases, supported by historically high profit margins, have taken valuations to the upper end of the ranges, but with labor costs under control and the Fed still very accommodative, it's hard to see the market giving back much of its gains. Even modest earnings increases should support current U.S. equity evaluations.

However, as the global economy continues to recover, European and Asian equity markets may start to outperform the U.S. European equity risk premiums are high by historic standards, but they should continue to decline as European central bank support and more clarity on banking regulation come into play. Profit margins are low in Europe compared to the U.S., but if the recent improvement in business sentiment translates into earnings growth as it has done in the past, then margins should improve.

Turning to Japan, it is difficult to recommend a market that is up almost 40% YTD (23% in U.S. dollar terms) but the move should be put in context with a market that has done almost nothing for twenty years. Fiscal and monetary policy has driven the market in this initial phase. The Japanese economy will need to continue to respond favorably to the

stimulus and economic reform will be essential in the long run. After this first big move, the market has taken a breather to see if progress can be made on restructuring, but it is positive that Abe appears to be set to push ahead with an increase in the consumption tax.

Finally, emerging markets (EM) are still at very low valuation levels, despite having been battered and showing some signs of recovery. In the last three years, EM has underperformed other world markets by 30%. Their price-to-book ratio is 40% below that of the U.S. market, a level not seen since 2004. Uncertainty concerning the slowdown of the Chinese economy is part of the reason for the underperformance as is the eventual rise in the U.S. interest rates. Having said that, the demographics of the developing world, which the market so admired only a few years ago, have not gone away and even 7% growth from the world's second largest economy should be sufficient to restore equity valuations. In summary, modest growth in the U.S. and a recovery in Europe and Japan, combined with accommodative monetary policies on the part of the major central banks, should support an increase in equity prices both here and abroad.



Kris Jankowski focuses primarily on acquisitions and equity placement for Titanium Real Estate Advisors. Kris joined Titanium in 2011 and has experience in both institutional and corporate real estate. Prior to joining Titanium, Mr. Jankowski was with Whirlpool Corporation as a Sr. Real Estate Manager overseeing global real estate dispositions. He also worked for First Industrial Realty Trust in various positions in acquisitions, dispositions and accounting. In total, Kris has worked on over \$1.3 billion of commercial property transactions. Mr. Jankowski graduated from Miami University with a B.S. in Accounting. Kris has 14 years of industry experience.

"...the economy will remain centered on "stall speed" growth rates, but a better composition of growth and a further distance from the last recession suggest a self-sustaining, moderate expansion. "

Asset Manager Selection: How to Measure Performance

Foreword: In part 1 of this article, Sean Thompson stressed the importance of evaluating your manager's performance in the context of their peer group. How well they have done vs. the benchmark is not nearly as insightful as how well they have performed against other managers with the same benchmark. In addition, the article discussed performance vs the benchmark only tells part of the story. Quantifying the risk undertaken to achieve the return is too often a forgotten or immeasurable factor. Utilizing several of the risk-

adjusted return measures suggested, e.g. alpha, beta standard deviation and return per unit of risk, is the only way to fully understand a manager's performance in the its proper context, that of "risk and return". Mr. Thompson will now help us to understand how to interpret the results of measuring risk-adjusted returns and manager universe comparisons .

Part 2

Presenting The Analysis

The investor should always look to produce analysis on a number of different time periods, for instance 1, 3 and 5 year periods, to provide them with a good representation of how managers may have performed most recently and also over a longer time period perhaps helping to capture a full market cycle. If there is a certain market event that occurred outside of the suggested time periods above then an investor can de-

cide to extend the time period to capture it, so they can see how the managers performed during this time as well.

Once insurers have gathered the information, they are able to properly assess each asset manager within the peer group. Often graphs and charts can be generated that will provide a visual way of showing which asset managers are performing well within each of the types of measurement being used. Some examples of frequently used graphs are shown below:

terms of its total return and its outperformance of the benchmark. However, it is also taking the most risk, so on a risk-adjusted basis i.e. looking at how much additional return is being generated for each unit of risk being taken, it is actually Manager E that comes first. Investors might be happy to have the performance achieved by Manager G but if they don't want the volatility then they are likely to choose Manager E accepting that the performance of their portfolio will be lower.



Sean Thompson, Director, Client Relations

With over 25 years' experience in London's financial services, including investment consultancy, asset management and insurance, Sean brings wide industry knowledge to CAMRADATA. He was previously Managing Director at Meridian Performance Services and has also worked for companies such as AllianceBernstein and City



Floating Bar Chart

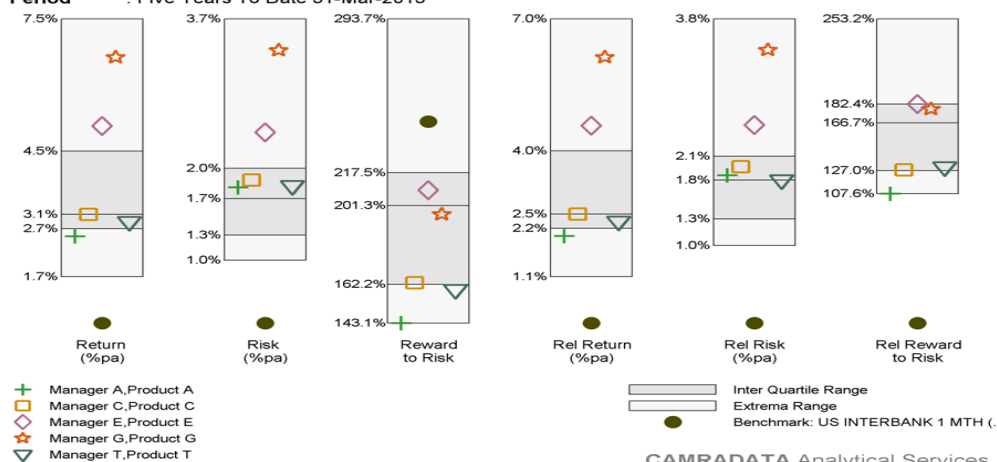
The chart below highlights 6 asset managers against a broad group ("universe") of asset managers, all managing a similar strategy measured against a chosen benchmark. The chart shows where they are positioned in the universe when looking at return/risk and relative return/relative risk. You can see immediately that Manager G is by far the best performing asset manager, out of the 6, both in

Risk/Return Plot

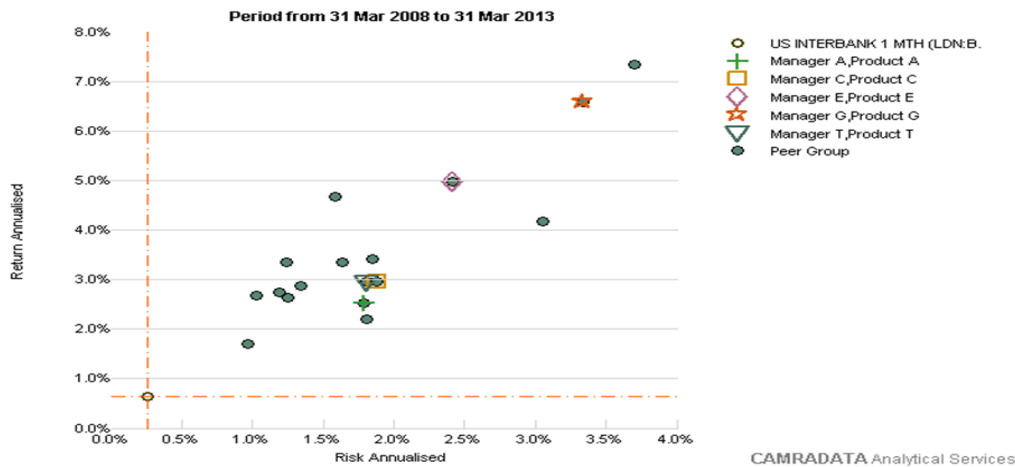
The chart below plots all of the asset managers in the universe in a risk/return graph. This enables the investor to see the returns and risk of other asset managers against the ones it chose to highlight. This allows the investor to decide whether it wishes to view in more detail some of the other asset managers in the universe. For instance, if the investor was considering Manager E then

Manager A

Data : Selected Universe, 17 products.
Benchmark : US INTERBANK 1 MTH (LDN:BBA) - TOT RETURN IND
Period : Five Years To Date 31-Mar-2013



Asset Manager Selection: How to Measure Performance



the benchmark over time and by how much. In the example, the chart shows that at the beginning of 2011 Manager E was appearing in the top quartile whilst manager G in the third quartile. However, in 2013 it is actually Manager G that has performed better over the last 3 years, now appearing in the top quartile. Manager E is now in the bottom quartile. From this analysis, an investor would want to better understand what both managers might have been doing differently before to reflect this change.

this shows there is another manager within the universe that has achieved a similar return over the period but has taken slightly less risk in doing so. On that basis the investor should investigate further that manager to see if it is better suited to meet their requirements.

Cumulative Relative Returns Chart

The chart below helps to show how a particular manager has outperformed the benchmark against the other asset managers in the universe. In the example below, Manager T has performed well in 2008 and for some of 2009 as well. However, since the second half of 2009, Manager T's cumulative out-performance has steadily dropped against its peers and by the end of Qtr. 1 2013, its five year cumulative relative return is in the bottom quartile.

This chart is particularly helpful to identify under-performance issues at an early stage. For example if this type of chart was being used as part of an investor's on-going monitoring process, then the investor

should have been asking the manager why they were seeing a drop in its cumulative outperformance versus other managers at the end of 2009. There may have been good reasons for this which the investor may have accepted i.e. the manager was taking less risk and as a result producing lower returns which was acceptable to the investor. However, if no satisfactory answer was given to the reasons the manager was not performing as well as they had done then the investor may have decided to carry

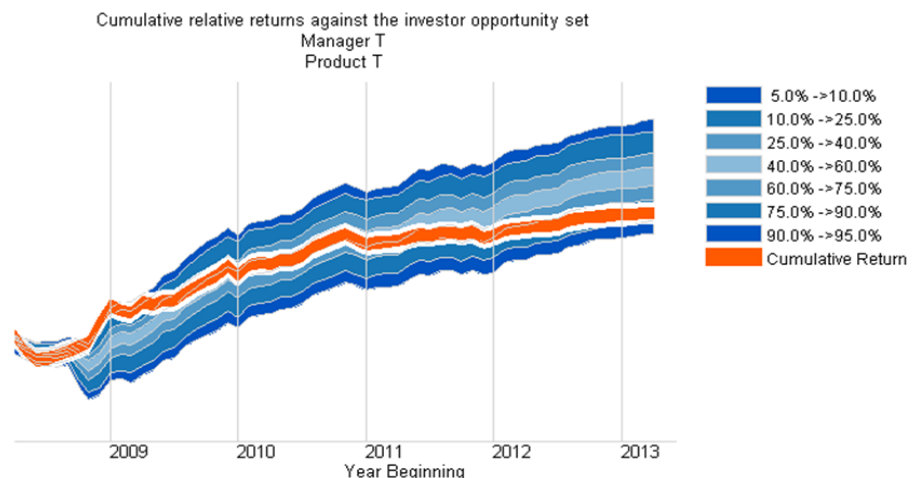
out a more formal review of its manager.

Rolling 36 Month Analysis

The first chart on page 6 measures asset managers' relative performance on a rolling 36 month risk adjusted return basis. In other words, it takes into account the outperformance of the benchmark and the risk being taken and shows how the asset managers have fared compared to the universe. The chart allows the investor to see whether the manager's is consistently outperforming

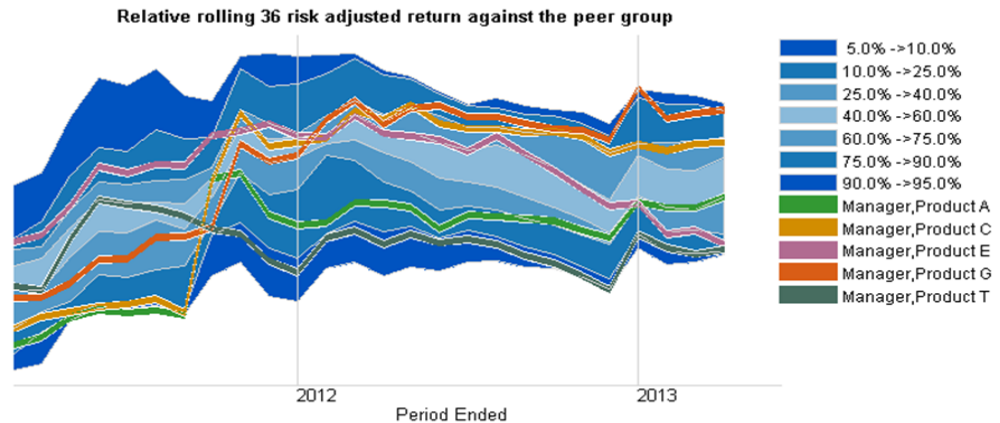
Dependency Analysis

The chart on the bottom of page 6 is a dendrogram, which gives a visual representation of the 'relationships' between the asset managers in the universe. The more closely related the asset managers are, the closer they are joined together as a group. This allows the investor to group managers together. It enables investors to see which managers appear to be very simi-



“...if the investor was considering Manager E (page 5) then this shows there is another manager within the universe that has achieved a similar return over the period but has taken slightly less risk in doing so.”

Asset Manager Selection: How to Measure Performance



CAMRADATA Analytical Services

lar in the way they manage a particular asset class compared to those who might be doing something slightly different.

In this example, all of the managers can be viewed as being relatively similar because their lineage is the same colour (green). However, the dendrogram shows Manager A is managing their strategy slightly differently to Managers G, E, C & T. Therefore the investor might want to investigate further to decide whether they are happy to continue to highlight Manager A as part of their analysis.

Investors use a dendrogram to help with their selection process either because they may only want to consider similar managers or because they may be seeking to add additional funds in this asset class and therefore don't want to pick a manager who is similar to their existing one.

The Final Step

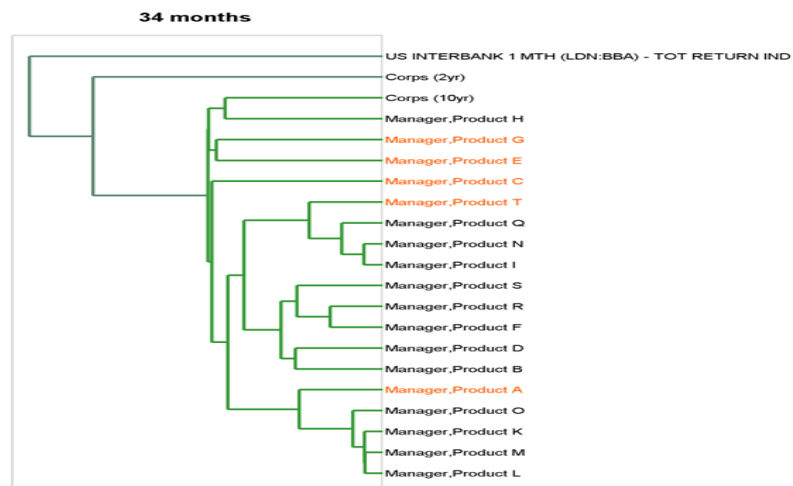
With all of this information, the investor will have a much clearer picture of the asset managers that have performed well relative to the benchmark, whilst providing a better understanding of the reasons why they may have done so.

If this analysis is conducted as part of a manager search, the investor will have a good understanding of which managers to meet with for further discus-

sions. The short list of managers might not always include the top performing managers, as these managers may be taking far too much risk to achieve it then the insurer is prepared to accept.

If the analysis is being produced as part of an investor's on-going monitoring of their existing manager, then it can be used to help enrich the conversations with the manager. Managers' performances should be reviewed each month with a more detailed

formal performance review undertaken quarterly. Peer group analysis should also play a part of any performance monitoring as it provides suitable comparison for discussion. This process also helps to confirm to the investor that the manager is still appropriate to continue to manage their monies in that asset class.



CAMRADATA

The Impact of Rising Interest Rates on Financial Assets

Treasury yield has risen by 100 basis points or more. Below is a summary of our findings:

- In general, higher yielding assets classes fell in value, while asset classes that offer both growth and income outperformed pure yield instruments.
- Small cap stocks outperformed large cap stocks pretty consistently, but all equities performed well. The relative valuation between Large Cap and Small Cap today may certainly impact their relative performance going forward, though.
- Cyclical sectors, such as Energy, Materials, and Producer Durables were the best performers in the equity markets, while defensive and yield-oriented sectors fared the worst.

Historically, when interest rates begin to rise, the economy is generally in an accelerating growth phase. Interest rate increases can either be driven by rising inflation expectations, i.e. a jump in nominal rates, or by rising economic growth expectations, i.e. an increase in real rates. In either event, a premium will generally be paid for growth, while pure yield asset classes, i.e. asset classes that trade like bonds, tend to lose their attractiveness.

The most important finding is that asset classes that produce both capital growth potential and an attractive yield typically perform well in a rising rate environment, especially if rates are rising from a low absolute level. Specifically, our research has found that *equities, convertible securities, and MLPs*

have been among the best performers in the past ten rate increase periods. In fact, as demonstrated in the chart on the following page, *equities and convertibles produced a positive return in 8 of the 10 periods*, with an average gain of 10.4% and 14.5%, respectively. *MLPs rose in 7 of the 10 periods* with an average gain of 4.7%. All of these asset classes possess growth and income characteristics.

Pure yield plays, including corporate bonds, generally fared much worse as investors have generally rotated out of these asset classes as interest rates have risen. Preferred securities have lost value in 6 of the 9 time periods where data is available,

while corporate bonds have fallen 90% of the time.

Granted, we have been in an unusual investing environment for a number of years as a result of weak economic growth that has been coupled with historically low interest rates. So, the reaction of asset classes to a sustained rise in interest rates could be different this time around than what we've seen in the past. However, one of the 10 periods of rising rates that we examined was from this past spring, when rates jumped on the Fed's tapering comments. During this rate rise, asset classes performed as we have described above, i.e. similar

Time Period	10 Year Treasury	S&P 500	Alerian MLP	REITs	Bloomberg Preferreds	Bloomberg Convertibles	Bloomberg All Corp. Bonds
1/18/1996 – 6/12/1996	+1.50	11.07%	0.31%	4.82%	N/A	10.92%	-4.65%
10/5/1998 – 1/20/2000	+2.63	48.67%	-1.18%	2.02%	-1.99%	80.29%	-3.13%
11/7/2001 – 4/1/2002	+1.22	3.32%	-2.81%	15.71%	0.36%	2.00%	-2.65%
3/11/2004 – 5/13/2004	+1.11	-0.69%	-7.82%	-13.13%	-7.45%	-2.38%	-5.32%
6/13/2003 – 8/13/2003	+1.45	-0.18%	0.01%	4.43%	-3.04%	-1.55%	-6.34%
6/13/2003 – 6/14/2004	+1.76	15.81%	8.92%	20.94%	-0.44%	12.14%	-2.92%
6/1/2005 – 6/28/2006	+1.34	5.70%	5.94%	20.32%	0.51%	8.87%	-2.53%
12/30/2008 – 6/10/2009	+1.85	6.78%	39.45%	-3.80%	1.98%	23.19%	5.41%
10/7/2010 – 12/15/2010	+1.14	7.07%	3.32%	-1.13%	-0.54%	5.21%	-3.88%
5/2/2013 – 9/10/2013	+1.33	6.29%	0.90%	-11.23%	-5.97%	6.43%	-6.32%

Source: Bloomberg

“...asset classes that produce both capital growth potential and an attractive yield typically perform well in a rising rate environment...” especially if rates are rising from a low absolute level.”

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to the other 9 periods we reviewed.

Equities and MLPs have both produced robust gains over the past year, so valuations for these groups aren't particularly cheap. But, stock prices are not out of line with historical averages and still represent an attractive option relative to other asset classes, especially higher yielding asset classes that have benefited from the demand for yield. And, MLPs may represent one of the great growth opportunities of this generation, given the explosive expected demand for energy infrastructure over the coming years.

Investors have been reaching for yield without regard to growth for several years, and are likely now starved for investments that can produce meaningful levels of total return, not just yield. As a result, we believe that prudent investors will be inclined to align their portfolios

in such a way as to benefit from the expected appreciation in growth and income assets as they prepare for the eventual increase in interest rates.



David S. Spika, CFA
Senior Vice President, Senior Portfolio Specialist

Mr. Spika joined Westwood in 2003 and currently serves as Senior Portfolio Specialist. He regularly authors investment thought pieces, performance commentary, and market strategy pieces, and also represents the portfolio teams in meetings with clients & consultants. In addition, he is a frequent guest on CNBC and has been quoted often in the print media. Mr. Spika is a member of the firm's Business Management committee and serves on the Board of Directors of Westwood Investment Funds PLC (Ireland-based UCITS fund company). Before joining Westwood, Mr. Spika was with Bank of America for seventeen years, where he served as a portfolio man-

ager for high net worth and institutional asset management clients. Mr. Spika graduated from Texas A&M University with a BBA in Finance and is a member of the CFA Institute and the CFA Society of Dallas-Fort Worth. He serves on the Board of Directors for Engage Hope Ministries, a local non-profit that operates Christian mission trips in rural areas throughout Mexico, Central America and Africa.



Upcoming Events

The Cayman Captive Forum takes place on Dec 3-5 at the Ritz Carlton in Grand Cayman. Carl will be a moderator/speaker at this event.

VCIA 19th Annual Legislative Day and Ski Day is Jan 16-17. VCIA Members: Join VCIA in Vermont for Legislative Day at the State House in Montpelier. And stay over and enjoy Vermont winter at its finest on the slopes of Stowe for VCIA Ski Day!



Carl E. Terzer
*Principal
Editor in Chief*

**CapVisor Associates,
LLC**